Shriram Finance Ltd

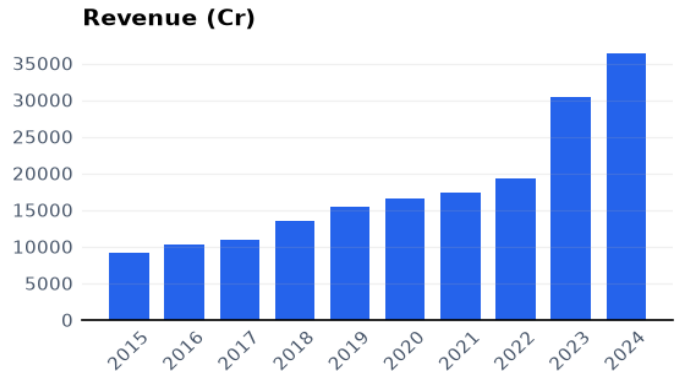
SHRIRAMFIN

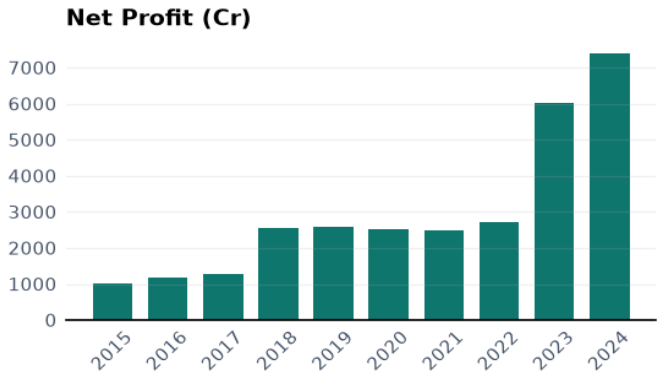
Financials

Company Tearsheet

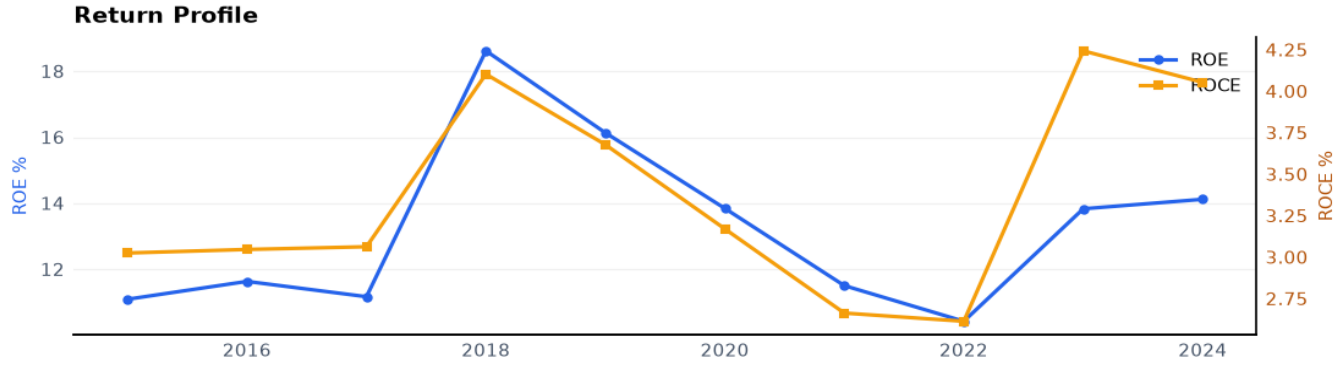
18.6% Revenue CAGR (5Y)	**23.5%** PAT CAGR (5Y)	**14.1%** ROE
4.1% ROCE	**3.97x** Debt / Equity	**-2.61x** CFO Quality

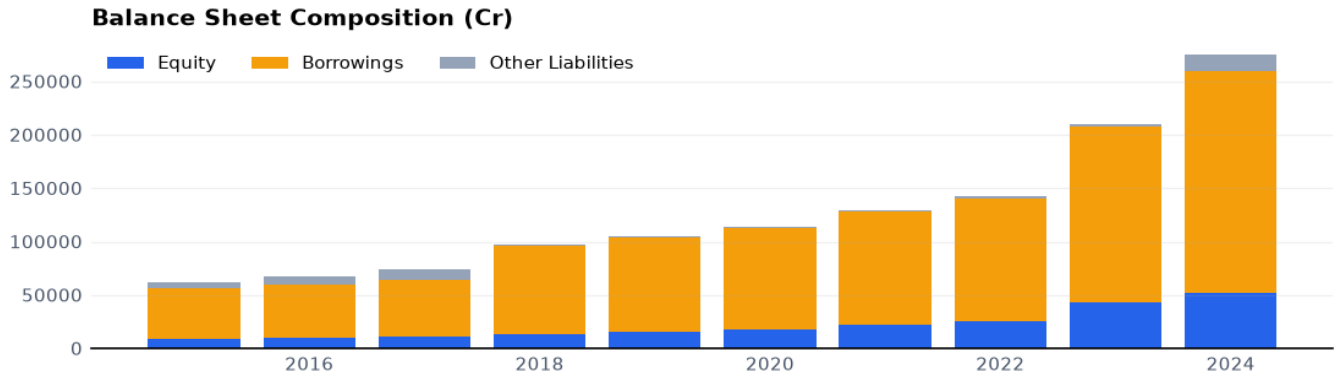
10-Year Financial Performance

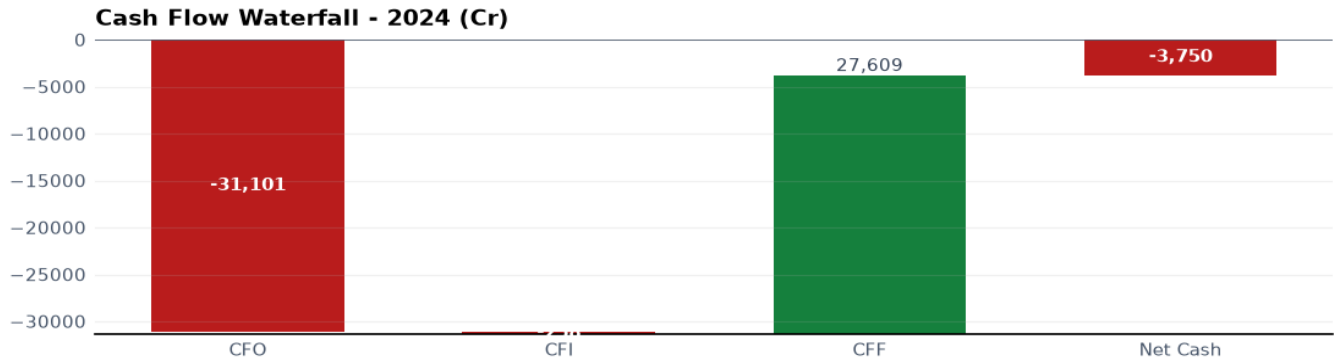




Returns and Capital Efficiency







PROS

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

CONS

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION

Growth Funded by Debt